Business Canvas Project — Assignment 1C

CED Task 7: Production Process & Supply Chain Plan · AP Topic 1.8

Due: _____
Team size: Same team as Assignments 1A, 1.3, and 1.4-1.5
Submission: Completed supply chain design for your business idea

This is the **fourth checkpoint** of the Business Canvas Project. In Assignments 1A, 1.3, and 1.4-1.5, you identified a customer problem, validated it, designed a product, analyzed the market, and defined your vision. Now design the **production process and supply chain** that deliver your product.

CED Task 7: "Develop a production process and a supply chain plan."

You must build on the same business idea from Assignments 1A, 1.3, and 1.4-1.5.

AP Alignment

LO	Description	Sections
1.8.A	Compare artisan vs. mass production	Section 1
1.8.B	Design a supply chain (stages, suppliers, distributors)	Sections 2–3
1.8.C	Explain how strategy shapes supply chain + scaling	Section 4

SECTION 1: PRODUCTION PROCESS

LO 1.8.A · EK 1.8.A.1, 1.8.A.2

Artisan vs. Mass Production

Use the **three inputs** to determine your production approach (EK 1.8.A.1):

Input	My Assessment
1. Customer priorities (first)	Do my customers value customization and quality, or low price and convenience?
2. Core competencies (second)	What skills and capabilities does my team have?
3. Competitive landscape (third)	What are my rivals doing? Can I differentiate through production?

My production approach: Artisan / Mass Production / Hybrid

Reasoning: (Walk through the three inputs — what did you find at each step?)

> **Relies on:** (Skilled labor + attention to detail? Or technology + assembly lines? — EK 1.8.A.2)
>
> **Output:** (Smaller quantities with higher customization? Or larger quantities with standardization? — EK 1.8.A.2)

Self-check:

- ☐ I used the **three inputs** (customer → competencies → landscape) to choose — EK 1.8.A.1
- ☐ Customer priorities were assessed **first** — EK 1.8.A.1
- ☐ I identified what my production **relies on** (labor vs. technology) — EK 1.8.A.2
- ☐ I described the **output scale** (quantity + customization level) — EK 1.8.A.2

SECTION 2: SUPPLY CHAIN DESIGN

LO 1.8.B · EK 1.8.B.1, 1.8.B.2, 1.8.B.3

If Your Product Is a GOOD

Map every stage from raw materials to the customer (EK 1.8.B.1):

Stage	Who or What Fills This Stage?	Local / Regional / Global?
1. **Raw materials & component parts**		
2. **Manufacturing facility**		
3. **Storage facility**	Warehouse or distribution center?	
4. **Distribution / retail**		
5. **Customer**		

If Your Product Is a SERVICE

Identify the three parts that bring a service to the customer (EK 1.8.B.1):

Part	What Fills This Role?
People (employees delivering the service)	
Resources (equipment, materials, tools)	
Delivery system (how the service reaches the customer)	

Key Distinctions

> **Warehouse or distribution center?** (EK 1.8.B.2)

My storage facility is a _____ because _____
(Warehouse = stores goods only. Distribution center = stores AND forwards goods to the next stage.)

Supplier or distributor? (EK 1.8.B.3)

My key **supplier** is: _____ (provides inputs to my production)

My key **distributor** is: _____ (moves my product toward the customer)

(Supplier = provides inputs. Distributor = moves goods forward in the chain.)

Self-check:

- ☐ I have mapped **every stage** of my supply chain — EK 1.8.B.1
- ☐ I can distinguish **warehouse vs. distribution center** with a clear reason — EK 1.8.B.2
- ☐ I have identified at least one **supplier** and one **distributor** — EK 1.8.B.3
- ☐ I have noted the **reach** of my chain (local / regional / global) — EK 1.8.B.1

SECTION 3: SUPPLIER SELECTION

LO 1.8.B · EK 1.8.B.4

Choose at least **two potential suppliers** for a key input and evaluate them across all five factors (EK 1.8.B.4):

Factor	Supplier A	Supplier B
Cost		
Quality		
Efficiency (delivery speed, consistency)		
Convenience (location, ease of ordering)		
Risk (reliability, backup options)		

The five risks the CED names (EK 1.8.B.4): natural disasters · political instability · resource shortages · production errors · supplier reputation. Any one of them can **delay delivery or raise costs** — and either outcome threatens competitive advantage and profits.

My choice: Supplier _____

Why: _____

Risk assessment: (EK 1.8.B.4 — Risk is the factor that business owners are most likely to ignore. What happens if your primary supplier fails? What is your backup plan?)

Backup plan: _____

Self-check:

- ☐ I evaluated **all five** factors for each supplier — EK 1.8.B.4

- ☐ **Risk** is included and not ignored — EK 1.8.B.4
- ☐ I have a **backup plan** if the primary supplier fails — EK 1.8.B.4

SECTION 4: STRATEGY → SUPPLY CHAIN ALIGNMENT

LO 1.8.C · EK 1.8.C.1, 1.8.C.2, 1.8.C.3

Your competitive strategy (from Assignment 1A) should **directly shape** your supply chain design.

> **My competitive strategy:** (From Assignment 1A — cost leadership, differentiation, or niche?)
>
> **How does my strategy shape my supply chain?** (EK 1.8.C.1, 1.8.C.2)

Strategy	Supply Chain Consequence
Low price →	Mass production + cost-cutting supply chain
High quality →	High-quality resources + careful methods
Barriers to entry →	Exclusive or restrictive supplier agreements

> **My specific example:** How does a particular supply chain choice in Section 2 serve my strategy?

Scaling Analysis

If your business grows, the supply chain must adapt (EK 1.8.C.3):

> **What would need to change to double your production?**
>
> | | Current | After Scaling |
> |---|---|---|
> | Units produced | | |
> | Revenue | $ | $ |
> | Total costs | $ | $ |
> | **Profit** | **$** | **$** |
>
> **Does revenue growth outpace cost growth?** Why or why not?
> *(Scaling mechanism: fixed costs are spread across more units, so each unit's share of fixed costs decreases — but you may need new fixed investments like equipment or a larger facility.)*

Self-check:

- ☐ My supply chain **directly serves** my competitive strategy — EK 1.8.C.1

- ☐ I have given a **specific example** of how a chain choice supports my strategy — EK 1.8.C.2
- ☐ I have analyzed **barriers to entry** created by my chain design — EK 1.8.C.3
- ☐ I have completed a **scaling analysis** with numbers — EK 1.8.C.3

Grading Rubric

Section	Excellent (A)	Good (B)	Developing (C)	Needs Work (D/F)
1 — Production process (1.8)	Three inputs used correctly (customer first), artisan/mass chosen with clear reasoning, labor vs. tech identified	Choice made with reasoning, some input gaps	Incorrect or unexplained	Not addressed
2 — Supply chain (1.8)	All stages mapped, warehouse vs. DC distinguished, supplier vs. distributor identified, reach noted	Chain mapped, some distinctions unclear	Incomplete chain	Not addressed
3 — Supplier selection (1.8)	All 5 factors for 2+ suppliers, risk addressed, backup plan included	Most factors evaluated, partial backup	Incomplete factors, no backup	Not addressed
4 — Strategy → chain (1.8)	Strategy clearly shapes chain, specific example, barriers analyzed, scaling with numbers	Connection shown, some examples	Weak connection	Not addressed

Four standing clauses (applied on top of the bands above)

1. **Concept application, not metaphor.** Stretching a CED distinction onto something it does not cover is graded as a **misconception**, not as creativity. Declaring it inapplicable **with a reason** is an **A-band move** — e.g. "*No manufacturing; cards are already produced by the manufacturer, my operation performs inspection instead*" or "*the warehouse/DC distinction does not apply to a pure digital service — N/A.*" If you build a functional analogy, mark it as an analogy ("*in effect*").
2. **Numbers must be checkable and consistent across the project.** State the unit price, unit variable cost and fixed cost somewhere; **hold the price constant unless you say why you changed it**; never let the same business carry two different unit economies in two assignments. A scaling table must expose the fixed/variable split, not hide it.
3. **Self-check integrity.** Tick a box only if you can point at the sentence in your own document that satisfies it. Blank sections with every box ticked are graded as a **credibility problem** and cost more than an honest "not done — will add by ___".
4. **Risk coverage and a backup that works on day one.** Name the CED's five risks, **rank them for your business**, and it is creditable to dismiss one with a reason ("*natural disasters have almost no effect for a fully online service*"). A backup is only a backup if it is

already qualified: state the second source, its capacity, its fill time, and what you pay to keep it usable.

Before You Submit — Three Checks

1. **Search your own PDF.** After exporting, press Ctrl/Cmd+F and search for a word *you* typed. If it is not found, the font layer is broken — re-export with all fonts embedded (Word → Save as PDF → Options → ISO 19030-3 / PDF/A), or submit the `.docx`.
2. **One business, one currency.** One product name, one customer, one currency throughout — and the unit price/cost must match what you used in 1A, 1.4-1.5 and 2.x.
3. **Tables must not clip text.** Long answers go in a paragraph under the table, not into a cell too narrow to hold them.

Important Notes

1. **Build on Assignments 1A, 1.3, and 1.4-1.5.** Your competitive strategy (cost leadership, differentiation, or niche) from Assignment 1A should drive every supply chain decision here. Your core competencies from Assignment 1.4-1.5 inform your production approach.
2. **After this assignment**, complete Task 8 in the **Unit 1 Final Canvas** — commit to your business idea and revise your market analysis with everything you've learned.
3. **The Business Canvas Project is not submitted to College Board.** But on exam day, FRQ 1 (15% of your score) will ask you to write about your own canvas project. The work you do here directly prepares you for that question.
4. **Team size:** Same team as Assignments 1A, 1.3, and 1.4-1.5. All members must contribute. Each team submits one document, **with every member's name and contribution stated in the file** — the exam-day FRQ is written individually.
5. **Your 1.3 PESTEL is an input, not a separate assignment.** The force you ranked first in 1.3 has to show up here: if regulation, licensing or a platform's rules decide your fate, they belong in Section 3's risk row and Section 4's scaling gate. Leaving them out is the most common way this task loses marks.